re: risk taker call (notes)

FICC and Equities | 23 July 2025 | 7:20PM UTC

yesterday we hosted our bi-weekly vol risk taker call … join us next time for positioning, trades ideas, flows … email us to be added to invite going forward

below are notes and ideas – reach out to trade

Eason – US index vol trading

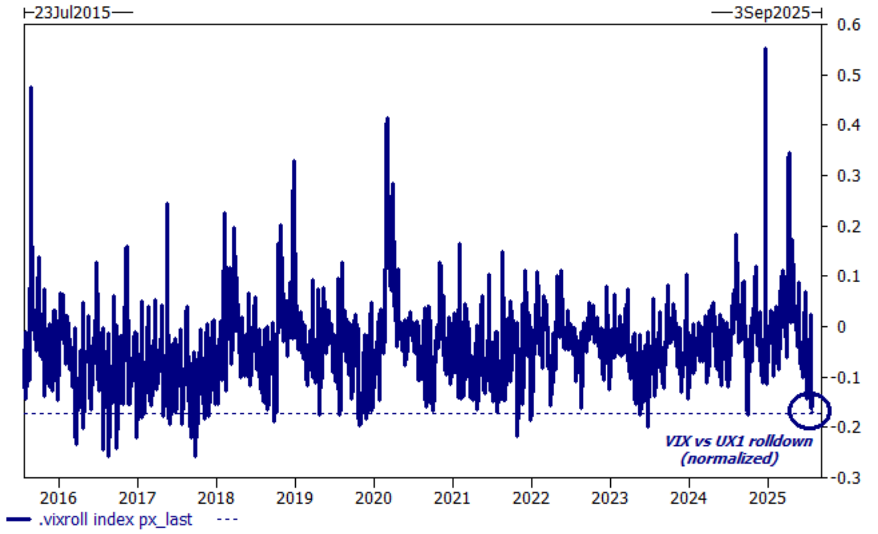
1/ vix term structure is extremely steep – the august vix future is trading 18.15 last vs spot 15.4 (2.75pts) – **chart i** … for those unwilling to sell the future outright (because you value your sleep / summer vacation), the desk likes put spreads or ratios as a trade for roll down (2-3 : 1 payouts) … *max loss long put is premium paid max loss short put is significant*

2/ spx index gamma has been perpetually "low" but it has not been perpetually "cheap" – the rise of derivative income products continues to supply market makers with short dated optionality. Said another way, if you want to express view at index level, it does not cost much … things are starting to realize, and intraday / daily straddles offer decent value

3/ option put vol skew is elevated (10dp / 40dp vol ratio) – **chart ii** … longer dated spreads look attractive (SPX 6m 100% / 80% put spread costs 2.8%) - 30delta at inception / minimal theta / long (cheap) vega … barrier put options are offering 80-85% discount vs the vanilla (reach out for iterations) … *max loss premium paid*

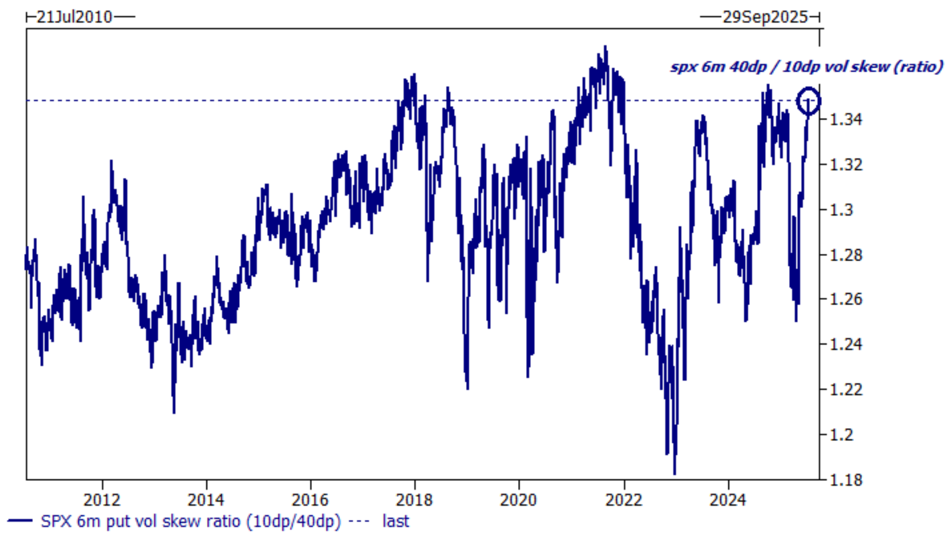
4/ desk highlight, despite the low absolute level of implied vol – investors have been hesitant to spend any real premium in either direction … my anecdote, if looking for a "non consensus trade" equity downside certainly falls in that bucket

chart i :: VIX roll down (VIX – UX1 avg)



source:: gs global banking and markets / as of 23july25 // past performance not indicative future return

chart ii :: spx 6 month 10dp / 40dp vol skew ratio



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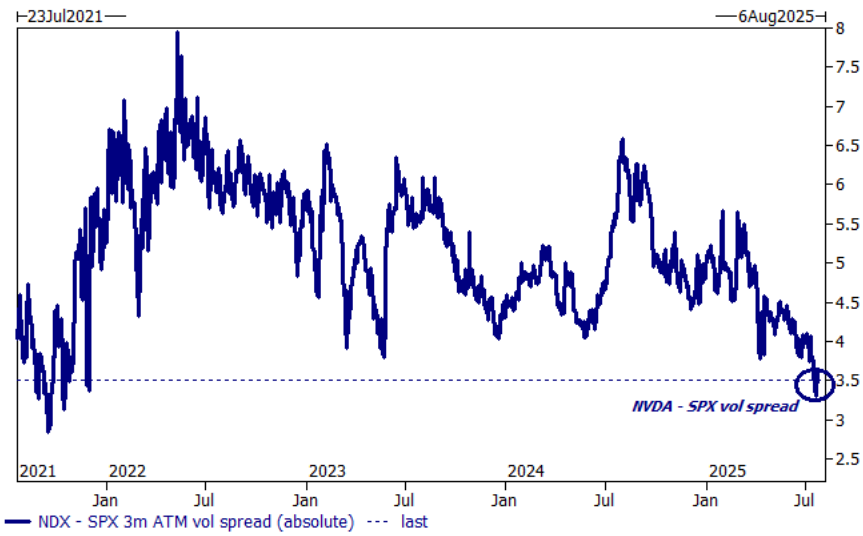
Nick Anaya – US single stock vol trading

1/ the average implied move for earnings all stocks is extremely low (470bps) … the setup feels complacent into the print and could provide relief rallies… we think QQQ gamma screens cheap in the short run relative to SPX – **chart iii**

2/ favorite trade idea into earnings is AMZN upside … tariff impacts, cloud business fears, secondary supply fears have lead to decent underperformance in the name (lagged NVDA, META, etc by 20%) ytd … AMZN call skew is flat into earnings, the Aug 235/255 call spread costs 4.50 (ref 228.45, 31 delta) … *max loss premium paid*

3/ favorite trade into end of the month is NVDA 1Aug straddles (or pick your side) … NVDA 2 week implied vol is at 5 year lows – **chart iv** … while 1Aug expiry does not capture NVDA earnings outright, it does capture Mag 7 earnings prints, and NVDA carries a high correlation on the back of AI spend capex commentary out of Mag 7 management … NVDA 1Aug straddle is 4.3% … *max loss premium paid*

<u>chart iii :: NDX – SPX vol spread (3m absolute)</u>



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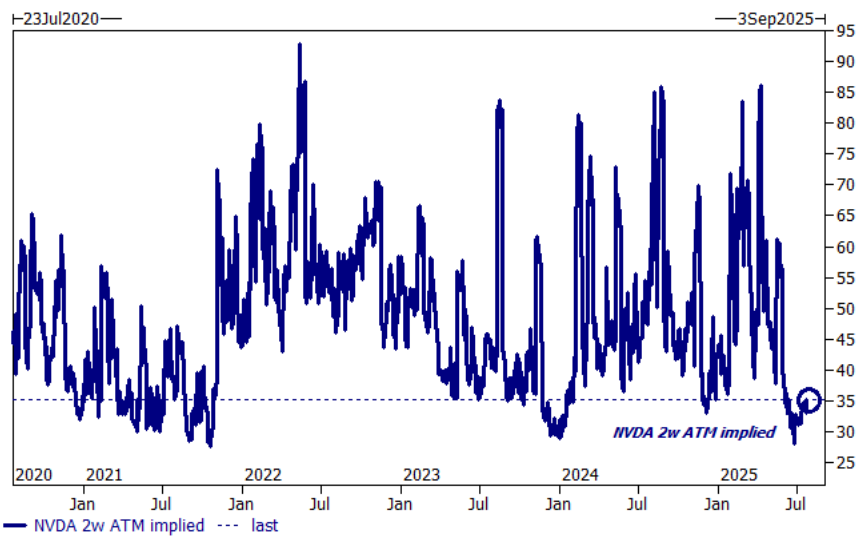
<u>chart iv :: NVDA 2 week ATM implied vol</u>



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Max Lukianchikov – US Credit ETF + CDX vol trading

1/ the rally in credit mirrors that of equities, as cash credit spreads trade at historical lows (1st percentile in the history of the product – not a typo) – **chart v**

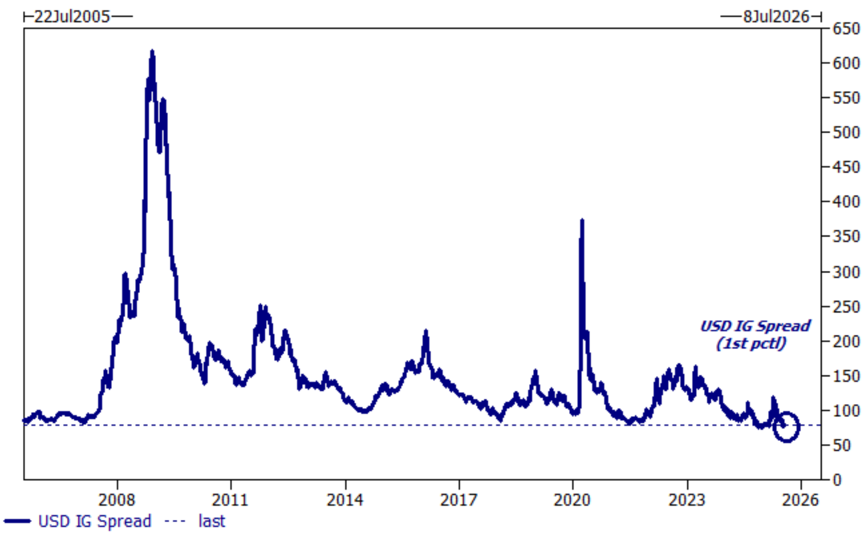
2/ as with the other asset classes, implied vol in the credit complex is extremely low … 3 month ATM options in HYG trade with a 4 implied vol handle (with the caveat that five day realized is below 1 vol point)

3/ vol skew is steep and HYG offers a strong hedge for risk off coupled with higher yields □ the ETF embeds sensitivity to both yields and spread and the implied correlation is attractive

4/ favorite implementations are HYG Oct 79/73 put spread for $0.50 (ref 80.43, 34 delta) or HYG Nov 79/73 put spread for $0.64 (ref 80.43, 38 delta) … *max loss premium paid*

5/ in terms of flow, unlike the equity index book, the desk have seen demand from non-traditional investors looking to spend premium on credit hedges … 4 vol handle implied certainly waking up those looking for "low cost convexity"

chart v :: USD IG spread (20y lookback)



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